

Josh and his wife have three late-model automobiles. These include a 7 Series BMW and a seven-passenger Volvo, both leased, and a Toyota Supra. His consumption habits regarding motor vehicles are similar to those of other consumers who have significantly higher incomes. Josh spends three times more on average than Henry for motor vehicles.

Josh also spends nearly twice as much as Henry in mortgage payments. Josh lives in a larger, more luxurious home, in a so-called prestigious subdivision. Henry lives in a much more modest home in a mid-tier-class neighborhood. Henry's neighbors are teachers, middle managers, civil servants, and store managers. Henry and his family blend in nicely in this neighborhood. The consumption habits they display are very middle class. This is true even though Henry's household has four to five times more accumulated wealth than its typical neighbor.

What about Josh's neighborhood? His primary residence (he also has a time-share in ski country) is in an upscale neighborhood. His neighbors are high-income-producing physicians, senior corporate executives, top-earning sales and marketing professionals, attorneys, and affluent entrepreneurs. Josh feels comfortable in this environment, and it is ideal for entertaining clients as well as associates. But there is something Josh does not realize: Although his income is in the third quartile compared with that of his neighbors, he is near the bottom in terms of his household net worth.

Josh and his family are playing the role of those with two, three, and even more times the net worth they have. Josh, you are not alone. At least one in five households in your neighborhood is playing the same role. They, too, are on outpatient care. They, too, spend more and invest less than others in their area.

How does Josh's budgeting system operate? How does it accommodate his propensity to spend? Josh is like many other under accumulators of wealth. He spends first. He saves and invests what is left over. What this actually means is that he saves and invests nothing beyond what happens to be injected into his pension and profit-sharing plan. More than two-thirds of his wealth is the equity in his home, his partnership, and his pension. In essence, Josh and his family invest zero dollars from their personal income. But perhaps they feel affluent anyway. Josh does receive \$10,000 in cash each year. And he anticipates inheriting much more someday.

But what about Josh's children? Are they likely to receive substantial cash gifts from their father? It is very unlikely. Yet these children are growing up in a high-consumption environment. They will likely attempt